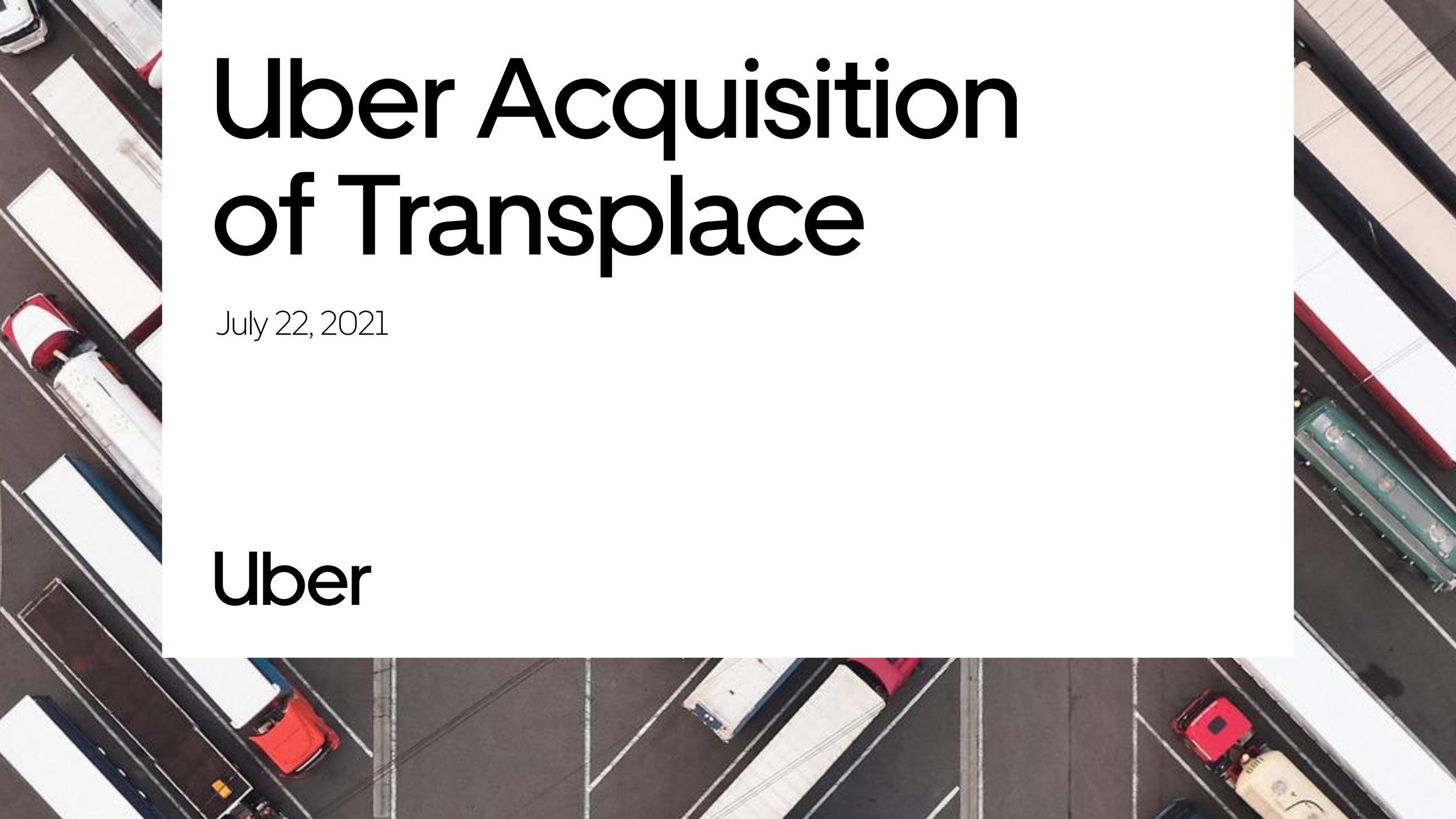
Uber Acquisition of Transplace

July 22, 2021

Uber



Forward Looking Statements

This communication contains forward-looking statements regarding Uber Freight Holding Corporation ("Freight," "we" or "our") future business expectations which involve risks and uncertainties. Actual results may differ materially from the results predicted, and reported results should not be considered as an indication of future performance. Forward-looking statements include all statements that are not historical facts and can be identified by terms such as "anticipate," "believe," "contemplate," "continue," "could," "estimate," "expect," "hope," "intend," "may," "might," "objective," "ongoing," "plan," "potential," "predict," "project," "should," "target," "will," or "would" or similar expressions and the negatives of those terms. Forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause our actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by the forward-looking statements. These risks, uncertainties and other factors relate to, among others: risks and uncertainties related to our pending acquisition of Transplace, including the failure to obtain, or delays in obtaining, required regulatory approvals, any reverse termination fee that may be payable by us in connection with any failure to obtain regulatory approvals, the risk that such approvals may result in the imposition of conditions that could adversely affect us or the expected benefits of the proposed transaction, or the failure to satisfy any of the closing conditions to the proposed transaction on a timely basis or at all; costs, expenses or difficulties related to the acquisition of Transplace, including the integration of the Transplace business; failure to realize the expected benefits and synergies of the proposed transaction in the expected timeframes or at all; failure to accelerate Freight's profitability in the expected timeframes or at all; the potential impact of the announcement, pendency or consummation of the proposed transaction on relationships with our and/or Transplace's employees, customers, suppliers and other business partners; the risk of litigation or regulatory actions to us and/or Transplace; inability to retain key personnel; changes in legislation or government regulations affecting us or Transplace; developments in the COVID-19 pandemic and resulting business and operational impacts on us and/or Transplace; and economic financial, social or political conditions that could adversely affect us, Transplace or the proposed transaction. All information provided in this communication is as of the date of this communication and any forward-looking statements contained herein are based on assumptions that we believe to be reasonable, and information available to us, as of such date. We undertake no duty to update this information unless required by law.

The forward-looking statements in this communication may also relate to the business and expectations of Freight's parent company, Uber Technologies, Inc.'s ("Uber"). In addition to the risks related to the proposed transaction and the business of Freight and/or Transplace, for additional information on other potential risks and uncertainties that could cause actual results of Uber to differ from the results predicted, please see its Annual Report on Form 10-K for the year ended December 31, 2020 and subsequent Form 10-Qs and Form 8-Ks filed with the Securities and Exchange Commission (the "SEC"). Uber undertakes no duty to update this information unless required by law.

Contents

01 Transaction Overview

02 Strategic Rationale

Transaction Overview

The Transaction

Uber Freight to acquire Transplace, a leading provider of advanced logistics technology and solutions, powering one of the largest managed transportation and logistics networks in the world.

Transaction	**Uber Freight to Aquire Transplace for $2.25B** • $1.5B in cash expected to be financed by bond issuance prior to closing • $750M in Uber stock valued based on 10-day VWAP pre-close
Financial Impact	**Post this transaction, all of Uber's segments - Mobility, Delivery, and Freight - are expected to generate sustained positive Adjusted EBITDA** • We expect the acquisition to accelerate Uber Freight's timeline to Adjusted EBITDA breakeven to Q4 2022 • Transplace is EBITDA Profitable and is expected to generate $100M+ in 2021 • Significant additional net run-rate synergies of $40M+, expected to be realized 12-24 months from transaction close
Timing & Approvals	**The transaction is subject to customary closing conditions including applicable regulatory approvals. The transaction is expected to close later this year or in H1 2022**

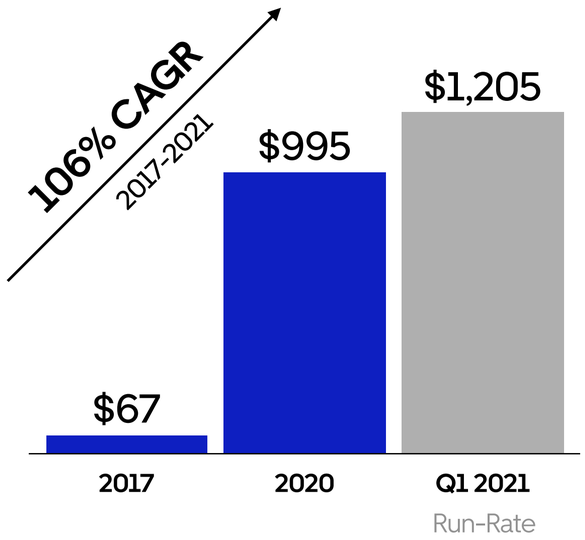
Transplace EBITDA is defined as Net Income (loss) before interest, taxes, depreciation, and amortization

Uber Freight: Disrupting the freight industry

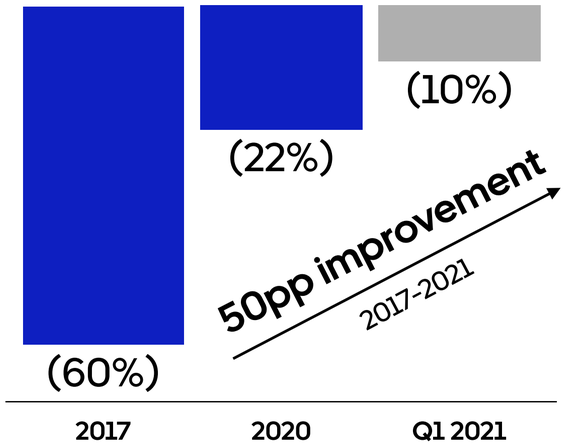
Rapid progression driven by:

- Leading service + innovative real-time demand channels driving strong adoption
- Largest, most efficient and cost effective digital Carrier network
- Industry leading operating costs

Revenue ($ in millions)



EBITDA (% of revenue)



US and Canada only

Transplace: A leading provider of logistics technology and solutions globally

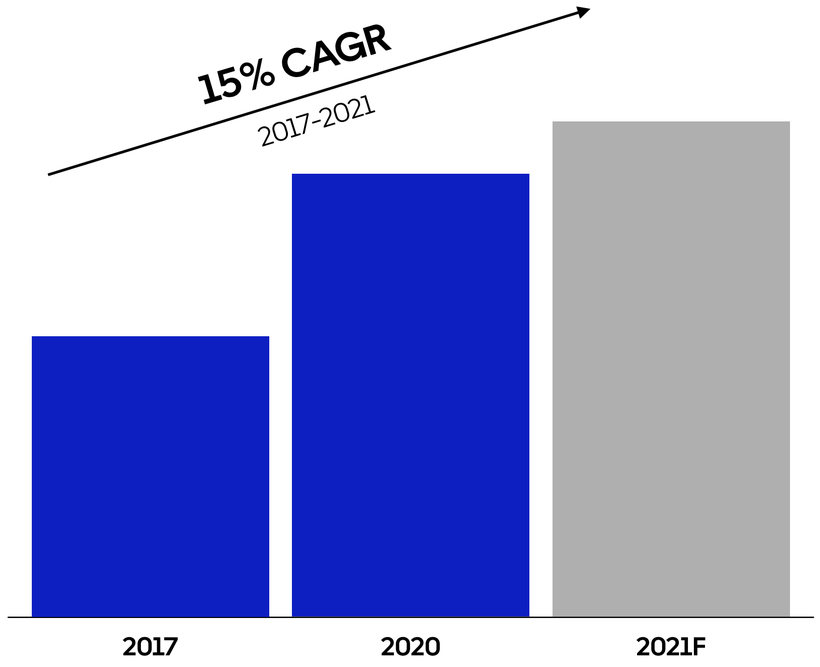
Business Description

Transplace is a leading provider of Managed Transportation solutions

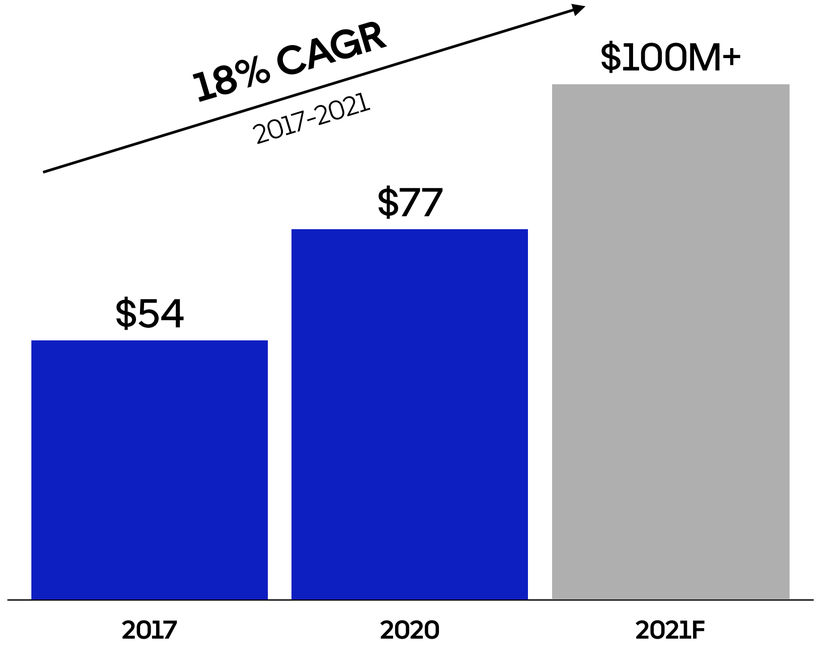
- Founded in 2000 and headquartered in Frisco, TX
- 3,100 employees across North America & Europe
- Transplace provides shippers with comprehensive technology and support to manage their logistics needs end-to-end
- Managed transportation services involve supply chain design and working across the industry to facilitate shipment movement of trucks, trains and other modes of transport

Transplace: Track record of sustainable growth and profitability

Revenue



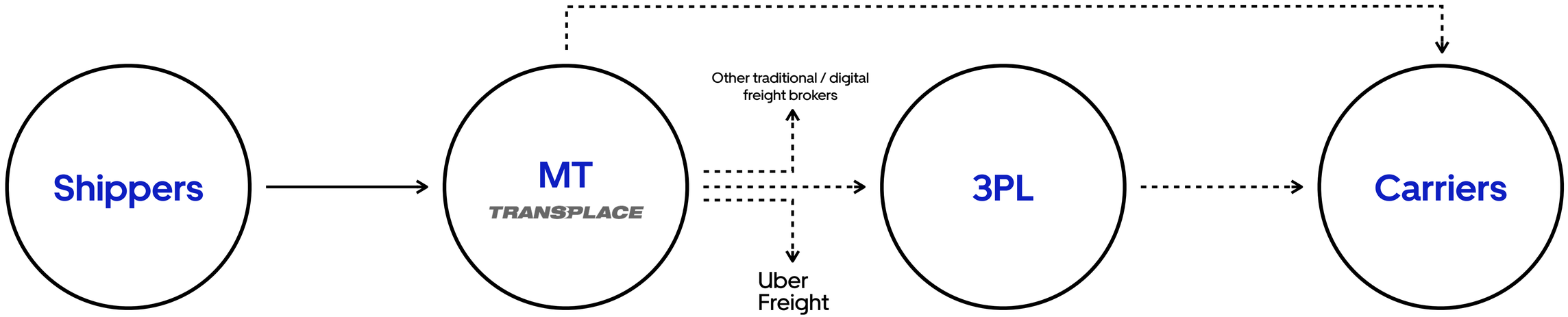
EBITDA ($ in millions)



Transplace EBITDA is defined as Net Income (loss) before interest, taxes, depreciation, and amortization

What is Managed Transportation (MT)?

Shippers may partially or fully outsource their logistics to MT providers who manage the shippers' end-to-end needs



Shippers need complex management of their entire supply chain

MT providers manage the full end-to-end logistics needs for a shipper, working with brokers or directly with carriers to fulfill

Third party logistics (3PL) match shippers with carriers for specific loads or contracted lanes and manage execution of freight movement for the shipper or MT provider

Carriers move loads from point A to B

Strategic Rationale

01

Logistics industry is going through a historic transformation as capacity constraints and increasing supply chain complexity cause shippers to increase their reliance on technology solutions and support that can streamline their businesses and keep critical goods, and the economy, moving

02

Complementary businesses delivering **innovative technology** solutions with **customer-first focus** across **wider breadth** of offerings

03

Transaction creates the industry's leading Freight Technology Operating System, enabling a comprehensive end-to-end shipper-to-carrier solution, unlocking new levels of efficiency and service

Logistics industry is going through a historic transformation

Strategic Rationale 01

Capacity constraints and climbing transportation costs forcing shippers to adapt their operations

$4T [1]

Global freight TAM globally

World is run by trucks

6% [2]

Estimated transportation spend CAGR through ‘24

US trucking costs rising faster than GDP

14% [2]

Estimated MT Fees CAGR through ‘24

11% [3]

3PL outsourcing CAGR through last 20 years

Shippers are accelerating their adoption of technology and outsourced logistics

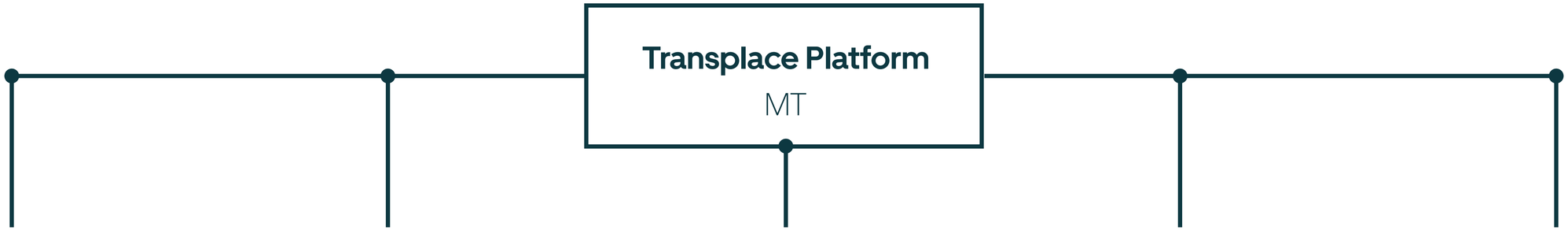
1. Armstrong & Associates, Inc., “Third-Party Logistics Market Results And Trends for 2016” (2016)
2. AT Kearney Analysis.
3. Armstrong & Associates (DTM only)

Strategic Rationale 02

Innovative technology, customer-first focus, wide breadth of offerings

Strategic Rationale 02

Managed Transportation software platform provides sophisticated supply chain planning, optimization and day-to-day execution through an integrated, user-friendly cloud deployment



Logistics Planning

- Mode optimization
- Intelligent carrier assignment
- Scenario planning

Shipment Visibility

- Service Prediction
- Real time visibility

Optimization

- Continuous moves
- LTL pooling
- Lanehub

Workflow Integration

- Claims management
- Invoicing & Payments
- Other customer ERPs

Analytics

- ThinkTank real-time reporting to measure RoI

Customer-first solutions → strong business fundamentals

Working across 1,700 customers

reckitt

COLGATE-PALMOLIVE

EATON

BASF

Tyson

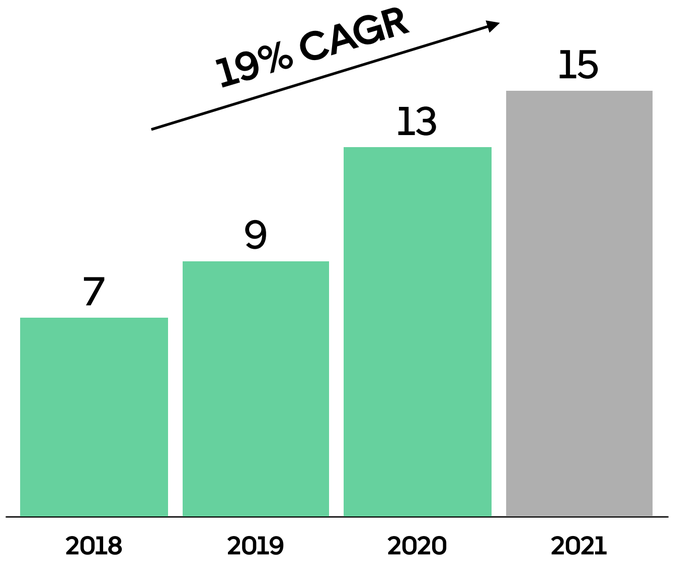
Del Monte Quality

Highly engaged with recurring revenue

Gross Retention (2020)	96%
Avg MT Customer Tenure	~8-9 years
Avg MT Contract Length	~3-5 years

Growing FUM [1]

(FUM in $B)



1. FUM: Freight Under Management, which represents the dollar amount of freight managed by a MT provider on behalf of their shipper clients

Strategic Rationale 02

Scaled logistics platform

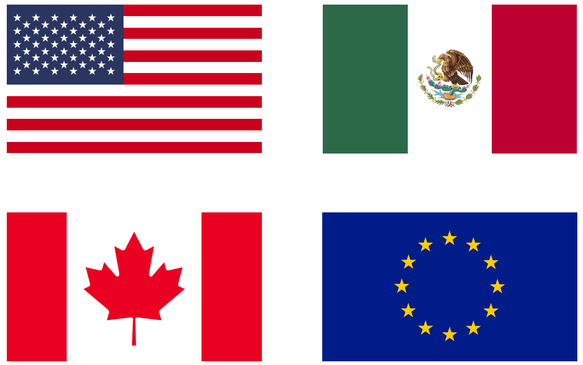
Large carrier network

Access to

30K+

Carriers

Geographies



Diversified lines of business

- Managed Transportation
- Brokerage
- Intermodal
- Customs

Strategic Rationale 03

Industry-leading Freight Operating System creates value for shippers and carriers

	Transplace Managed Transportation	**Uber Freight** Brokerage	**Transplace + Uber Freight** End-to-End logistics Platform
Shippers	**Transplace Platform** provides holistic understanding of shippers' network	Limited integration / view into shippers' network and needs	Transparent digital solution that serves the breadth of shipper needs at leading costs, service, and reliability
Carriers	Limited carrier management systems and procurement capabilities	**Digital carrier network** optimized for visibility, efficiency, and reliability on every load	Efficient marketplace that provides greater flexibility and more earning opportunities for carriers

The Uber brand

further fuels MT growth

Uber

Leading

Global transportation brand

Uber Freight

Leading

Carrier brand in the industry[1]

Transplace's complementary offerings

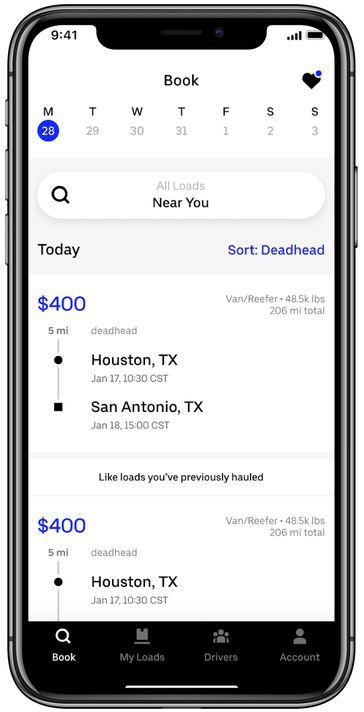
broaden the combined company's services

Adding / scaling below services and capabilities:

- Intermodal
- Customs
- Mexico (Intra and X-border)
- Canada (Intra and X-border)
- Refrigerated
- Flatbed
- Drop-trailer
- Less-than-truckload

Uber Freight's leading marketplace technology

improves efficiency while increasing transparency and reliability for users



1. Survey, carriers were asked "How likely would you be to use services from each of the following companies in the future? Rate on a scale of 0 to 10 (0=not likely at all, 10=very likely)